

AIM

AP.100 BUSINESS PROCESS ORGANIZATIONAL IMPACT

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Introduction

Purpose

The purpose of this document is to help the organization better understand the extent and the ramifications of the change brought about by the new or improved business processes so it is better able to manage that change. It focuses on the question: How much change is a new or improved process imposing on:

1. the activities and procedures to do the work
2. the people performing that work,
3. the physical setting where the work is done,
4. the organizational culture in which the work is done and
5. the organizational structure that supports the way the work is done?

From the documentation of the change impact resulting from the update and/or improvement of the business processes, the organization can develop a plan to manage the impact, align the organizational systems and facilitate acceptance and use.

Overview

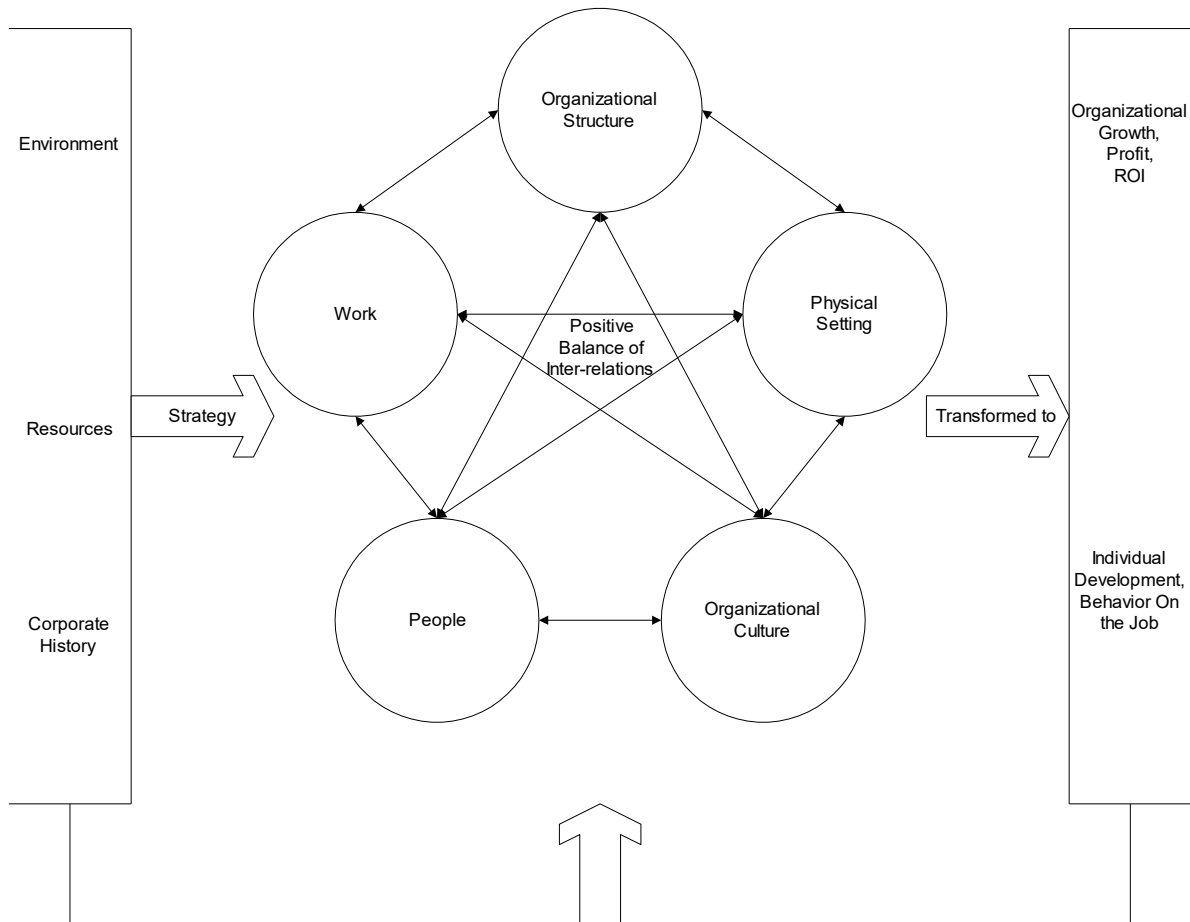
This document includes the following components:

Component	Description
Introduction	Introduction to this document.
Organizational Model	Illustrates the model to analyze the change impact on the organization.
Change Impact by Organizational System	Highlights the extent and ramification of the new/improved business processes on each organizational system.
Plan for Alignment and Acceptance	Guides the development of the plan to manage the impact of the change from the new/improved business process.

Organizational Model

Open Systems

The model used to analyze the impact of new/improved business process on the organization is issued from the open systems theory of organizations, adapted from the congruence model.



Background of Organizational Theory

The basic elements of organizations have remained relatively constant throughout history. Organizations are based on purposes; they acquire and allocate resources to accomplish goals, use some form of structure to divide and coordinate activities, and rely on certain members to lead or manage others. Although these elements have remained relatively constant, their purposes, structures, procedures, and methods for coordinating activities have always varied widely. These variations largely reflect the organization's adaptation to its environment. In this sense, organizations are "open systems," which are influenced by and have an impact on the world around them. Inherently, organizations are a part of the society and culture in which they function. Human behavior, both within and outside of organizations, is heavily influenced by culturally rooted beliefs, values, assumptions, and behavioral norms.

Organizations as Interrelated and Interdependent Systems

Contemporary organizational theories integrate the various elements that contribute to the whole organization. The underlying theme is that of systems; organizations are seen as systems of mutually interrelated and interdependent subunits. Actions occurring in one area not only affect that particular unit, but are likely to have a ripple effect throughout all the subsystems of the organization. The implication of this being, therefore, that events do not simply happen, but rather evolve from multiple pressures and can provoke multiple outcomes

Systems theory also brought forth the contrast between organizations as either open or closed systems. A closed system is one that is completely self-contained and does not interact with its environment. In contrast, open systems are influenced by external forces and interact with their environment. Organizations, for example, are influenced by a plethora of environmental inputs such as availability of materials, technological changes, competitive forces, changing worker values, and government policy (to name a few). The primary advantage to these theories is their ability to provide a framework for thinking about organizations in more complex and dynamic terms. The application of this perspective is especially useful when assessing the needs for major organizational change by encouraging managers to think about how change in one area will affect other areas of the organization.

Congruence Among Systems: Inputs May Alter the Balance

The organizational model shown above is an adaptation of the congruence model. Here the emphasis is on the transformative process and specifically reflects the system property of interdependence. The general model views strategy as driven primarily by company history, resources, and the firm's environment (organizational context or "inputs"). These inputs provide the material with which the organization can work.

Company history, for example, includes not only the major stages of the organization's development over a period of time, that is, where they lie in the corporate lifecycle, but also the current impact of past strategic decisions, behaviors, past crises and the responses to them, and the evolution of organizational values and norms. A second input, company resources, includes not only technology, capital, employees, and information, but also less discernible assets such as the market's perception of the organization or the organizational climate. Both the value and the malleability of these resources affect how the organization can utilize them. The final input is the environment which includes externalities such as markets, regulatory bodies, competitors, unions, and financial institutions. These environmental factors can make demands or constrain organizational action, but also provide the organization with opportunities to explore.

Reflecting these inputs, and acting as a type of mediating input, is strategy. Strategy refers to the more fundamental notion of organizational purpose and objectives in addition to the specific tactics used to achieve these objectives.

Five Main Systems of an Organization

The strategy sets the template for the inner-workings of the organization, consisting of five main areas:

1. work

2. people
3. organizational structure
4. organizational culture
5. physical layout

Optimally these five areas reinforce each other, creating a consistent message throughout the organization. This congruence, or lack thereof, is then transformed to outcomes on both the organizational, group, and individual level.

On the organizational level we can measure this through Return On Investment (ROI), growth, revenue and profit. On the group level this is reflected in the ability of the various groups to function as a unit. Feeding into the groups, yet with a separate dynamic are individuals, who can experience both personal and job related growth, measured by behavior on the job.

All three processes, system, group, and individual, provide feedback to both the organization's inner workings and context, affecting strategy and relations between the five areas.¹ The order in which they are presented is random and not intended to imply any sort of ranking or linear order.

Work

One of the five areas is *work*. In general this area refers to the basic tasks of the organization, those elements that relate specifically to the work itself. It includes, for example, work flow and role interdependencies, task planning, technical requirements, productivity metrics, procedures, and task-related learning.

People

The second, *people*, refers to both the characteristics of the individuals involved, what each person contributes to interactions and processes, and the ways in which organizational practices affect them. These include Human Resource practices (what actually occurs rather than the policy), leadership, individual demographics and experience, individual perceptions and expectations, needs and preferences, skills and knowledge, and competencies

Organizational Structure

A third area is *organizational structure*. Structure consists of the formal processes and methods designed to permit individuals to perform tasks. It includes information channels, decision-making processes, organizational layers and hierarchy, mechanisms for coordination and control, business processes, departmentalization, Human Resource systems, systems of reward, and policies related to ethics, budget and the like.

Organizational Culture

Fourth is *organizational culture*. Culture refers to the emerging relations of the organization, interpretations of life in the organization, and the meanings that flow

¹ The five areas are by no means presented here as the unique view of the inner organization. Many different models exist, each has its own advantages and disadvantages. The model here has been adapted as the best fit with our view of organizations.

from them. Included are the subcultural norms and values, relations both within and between groups, conflict management, patterns of communication and influence, informal networks, organizational style and climate, and non-formalized sources of power.

Physical Setting

The final area is *physical setting*. Physical setting includes location, the physical properties of the building, furniture and equipment, the quality of lighting and air, amenities such as cafeterias and parking, and considerations of safety and access.

Components of the Five Systems

The following table lists the facets included in each of the five systems:

Systems	Facets	Description
Work: Relating to the task itself	Work Flow/Role Interdependencies	The ways in which one job, or its outputs, leads to the next; the interdependence between jobs related to the structure of the task.
	Role Requirements	Skills needed and demands required by a particular task, job design, routineness, performance demands to meet strategy
	Planning/Goal Setting	Expectations of the task in meeting production goals
	Technical Requirements: Hardware/Software	Technological tools used for specific task requirements
	Metrics (that is, Productivity Indices)	Measures of productivity and task goal attainment; output measures
	Procedures	The way tasks are accomplished; the methods used to create a specific output
	Training	Method by which employees new to the department or job are taught the task role and specifics
People	Human Resource Practices/Orientation	How Human Resource policies “perceive” people, are actually practiced, and the effects on employees
	Leadership	Formal and informal leaders; the qualities which promote being listened to, managerial style, leader behavior
	Demographics	Unchangeable factors about an individual which may affect the way they approach the world, that is, cultural or ethnic identity, gender, age, socio-economic background
	Experiential Background	Individual experiences which may affect behavior, that is, work experience, personal lifestyle
	Perceptions and Expectations	Individual sensemaking and interpretation of what did and does exist leading to expectation of what should happen in the future, sense (or lack) of organizational effectiveness, trust
	Needs and Preferences	Psychological needs and preferences of the individual; fulfilling these is motivating on an individual level, commitment
	Skills/Knowledge	Skills and knowledge of the individuals
Organizational Structure	Competencies	Abilities and the capacity to follow through on them, personal growth
	Informational Channels	Routes inherent in the structure by which information is able to flow

Systems	Facets	Description
	Decision-making Process	Accountability for decisions, channels of approval, institutionalized procedures for making decisions, consensual, autocratic or by vote
	Organizational Layers and Hierarchy	Vertical levels on the organizational chart, reporting relationships, distribution of formal authority
	Coordination and Control Mechanisms	Formal cross-departmental communication and planning; written goals and production quotas
	Business Processes	Complete response that a business makes to an event; entails the execution of one or more process steps; has a clearly defined deliverable or outcome
	Departmentalization	Formal division of labor, division into area responsibilities
	Human Resource Management Systems	Systems in place for the purpose of managing Human Resource, written Human Resource policies and procedures, channels designed to deal with recruitment, hiring, firing, job evaluations, assessment of employee morale, resolution of personal conflict
	Reward Systems	Compensation programs, promotion systems, bonus programs, reinforcement, perquisites
	Policies: ethics, issue resolution. Grievance, budget	Written policies addressing issues of business ethics, resolution of conflict (non-personal), grievance channels and procedures, issues of budgetary policy, fiscal responsibilities and priorities
Organizational Culture	Subcultures: Norms/Values	What behavior is expected and accepted in subunits of and across the company, apparent shared values underlying behavior, bases of subcultures (that is, function, hierarchy level, ethnicity, gender, race)
	Inter- and Intra-group Relations	Relations between people both within their own groups and between groups, boundary spanners, social interaction on and off the job, team functioning, subordinate attitude towards management, meeting and group processes
	Conflict Management	Informal conflict resolution (personal), level of conflict considered appropriate
	Communication and Influence Patterns	Amount and ease of communication both within and between groups, use of information as source of influence or power, use of gatherings to address company issues, political bartering, use of outsiders to influence
	Informal Networks	Relationships between individuals not related to job function, "the grapevine"
	Style and Climate	"Feel" of the company, general work atmosphere, formal vs. informal, individual vs. team, participative vs. directive, impersonal vs. warm, competitive vs. collaborative
	Non-formalized Sources Of Power	Uses of personal power, control of data and information, access to resources, leader of informal subculture
Physical Setting	Location	Where the company is located; city or rural, downtown, industrial or suburban district

Systems	Facets	Description
	Building	Physical layout of the building; open spaces, closed-in offices, distribution of work spaces, departments' physical relation to each other, physical condition of the building
	Furniture	Adaptation of furniture to work needs, comfort, ergonomics, aesthetics
	Equipment	Availability and ease of access to needed tools, condition of equipment
	Lighting	Type and amount of lighting both for reduced eyestrain and ambiance
	Air	Quality of air, fresh or recycled, temperature, scent
	Cafeteria	Existence of on-site nourishment, quality and price of available food, seating arrangements, conduciveness to pleasant "downtime"
	Parking	Availability of on-site parking, distance to workplace, covered or open, covered walkway to workplace, cost, lighting after dark
	Safety	Safety concerns addressed, emergency plans in place, communication of emergency plan to all levels, existence of security during and after normal work hours, Occupational Safety & Health Agency (OSHA) guidelines understood and in practice, protective clothing and accessories when applicable
	Access	Location of building accessible to workforce, building entrance/exit accessible, distance from air and other public transportation etc.
	Virtual Setting	Space where home office work occurs, including availability of connectors, speed of connection, etc.

Dynamic Relationship Between the Five Systems: Change in One Brings Change in the Others

The organization can be thought of this set of components: work, people, structure, culture, and physical layout. However, more important than the contents of the components, or any weighting that might be assigned to them, is the relationship between them and the nature of their interaction. Conceptualizing the organization as dynamic is a way to capture the constantly shifting interdependencies and intricate interactions between the components. Because of these interdependencies, a transition in one affects the others, for example, a change in business processes, the advent of a new technological system. Sometimes the effects are apparent immediately, but often they remain hidden until the organization experiences an obvious, and often public, setback.

Alignment Among Systems is Key to Organizational Effectiveness

For the organization to function well as a whole, the various parts must be both consistent with and support each other, maintaining alignment. Organizational effectiveness is determined by this *relationship* between parts rather than any inherent characteristic of an individual component. To achieve this relationship of congruence, altering any area, such as business processes and technological systems,

requires an overall re-evaluation and change process, carefully designed to bring the parts into alignment.

Further, there is continuous feedback, not only between the parts that we think of as the organization, but also with its context of inputs and outputs, areas often considered external to the organization. It is important to recognize these dynamics and their potential effects in disrupting the alignment of the internal organization. Because organizations operate in varying environments or under different constraints (for example, due to resources or competition), these dynamics vary enormously and no one approach will be appropriate. What is important is to address the organization as a whole and the dynamics between its interacting areas

Technological Change Impacts Multiple Layers of an Organization

Because of this, an induced change in technology and the business processes it supports has implications and effects at multiple layers of the organization, ones that are more pervasive than most other types of change. At first, the most obvious sphere in which technological change occurs is that of work. Certain technologies alter the task itself, the work flow, and task interdependencies; role requirements shift as do the measures of productivity, learning goals and so forth. However, the human factors are by no means secondary. Technological change can only be implemented by people, and the types of considerations discussed earlier (for example, perceptions, expectations, needs, competencies, experience) all converge to facilitate either the success or failure of the change. Organizational structure and culture provide the context through which these human factors will be enacted.

Given the indeterminate nature of social systems, there is no one best approach. The model does, however, allow an evaluation of the potential consequences of the change. By assessing the specific dynamic interactions between the five areas, it is possible to predict with some accuracy the potential for the change effort to succeed. The resulting adaptation of structures and communication patterns, work dimensions, and other specifics will positively impact the people involved by providing them with the reassurance of a well-planned-for change.

Change Impact by Organizational System

The following section documents for the business processes updated or improved the changes that they will affect on the organizational systems.

Systems	Facets	Description of change
Business Process: <Operations (Manufacturing and Assembly)> <Planning and Forecasting> <Procurement> <Financial Management> <Post-Sales Service> <New Product Development> <Order Fulfillment> <Market Management> <Human Resource Management> <Management Information and Decision Support> <Information Technology Management>		
Work: Relating to the task itself	Work Flow/Role Interdependencies	
	Role Requirements	
	Planning/Goal Setting	
	Technical Requirements: Hardware/Software	
	Metrics (that is, Productivity Indexes)	
	Procedures	
	Training	
People	Human Resource Practices/Orientation	
	Leadership	
	Demographics	
	Experiential Background	
	Perceptions and Expectations	
	Needs and Preferences	
	Skills/Knowledge	
	Competencies	
Organizational Structure	Informational Channels	
	Decision-making Process	
	Organizational Layers and Hierarchy	
	Coordination and Control Mechanisms	
	Business Processes	
	Departmentalization	
	Human Resource Management Systems	
	Reward Systems	
	Policies: ethics, issue resolution, grievance, budget	
Organizational Culture	Subcultures: Norms/Values	

Systems	Facets	Description of change
	Inter- and Intra-group Relations	
	Conflict Management	
	Communication and Influence Patterns	
	Informal Networks	
	Style and Climate	
	Non-formalized Sources Of Power	
Physical Setting	Location	
	Building	
	Furniture	
	Equipment	
	Lighting	
	Air	
	Cafeteria	
	Parking	
	Safety	
	Access	
	Virtual Setting	

Plan for Alignment and Acceptance

In light of the change impact described in the previous section, the following actions will help manage the impact, restore alignment and facilitate acceptance.

Areas	Actions	Responsibility	Timeline
Work			
People			
Organizational Structure			
Organizational Culture			
Physical Setting			

Open and Closed Issues for this Deliverable

Open Issues

ID	Issue	Resolution	Responsibility	Target Date	Impact Date

Closed Issues

ID	Issue	Resolution	Responsibility	Target Date	Impact Date